



SECTORS BRACE FOR 'LIBERATION' JOLT



tion may be short-lived, as Trump has said there could be a potential reclassification of pharmaceuticals.

THE IMPACT: A scenario analysis of seven major Indian pharmaceutical companies, each with 17–45% revenue exposure to the US, showed that if such tariffs were imposed and 40% of the cost absorbed by manufacturers, EBITDA margins for FY27 could fall by 1–2%. Companies such as Aurobindo Pharma, Zydus Lifesciences, and Dr. Reddy's Laboratories may be significantly affected, whereas Divi's Laboratories is expected to see minimal impact.

BITTER DOSE FOR PHARMA?

- Indian pharmaceutical exports have largely escaped the steep "reciprocal" tariffs imposed by US President Donald Trump. Pharmaceuticals have been exempted from both the 10% universal baseline tariff and the more severe 26% discounted tariff on India. But this exemp-

AGRICULTURE AND ELECTRONICS

- The tariff on India's agricultural and electronics exports could destabilise the status quo, at least in the short term. The world's largest economy is a key importer of top agricultural items from India like seafood and rice. Data shows the US imported \$2 billion worth of seafood from India in FY24, about 2.5% of all Indian exports to the US. In electronics, while India has managed to

